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PROCUREMENT MANAGEMENT POLICY AND PROCEDURE MANUAL

FOR ASER CONSTRUCTION PRIVATE LIMITED COMPANY

Addis Ababa, Ethiopian

June /2019

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UNIT ONE: - GENERAL BACKGROUND

1.1 Introduction

Procurement needs a policy, well planned, properly coordinated and covering a wide range of control to the selection of materials, source of supply, and follow up to ensure the timely deliveries, a complete inspection for quality and quantity. Some well-planned procedures free from much formalities and development of up -to -date methods and techniques of higher standard to reveal efficiency and economy.

Procurement is essential for all kinds of organizations – construction, manufacturing, merchandising, service giving, non-profit making and government organizations. Procurement activity is responsible for obtaining materials, works and services in the required quantity, quality at the right time (delivery) at a minimum total cost possible. Therefore, procurement is a key sub-function of management that uniquely involves in frequent contact with different groups. The procurement function must cooperate closely with other management functions such as engineering, marketing, quality assurance, finance, manufacturing as well as important contacts with suppliers of goods and services. Good communication with these various groups is essential. Procured materials and services costs could be among the largest capital expenditures in the organization. Wise and skillful control of procurement is critical for a company's success. In order for goods and services to be managed in an orderly and efficient manner with acceptable degree of responsibility and accountability, it is essential to have a well -established procurement policy and procedure.

Cognizing these facts, ASER Construction PLC has developed this procurement manual to be used as a guiding policy and procedure manual to be followed by the company.

This manual is to be approved by General Manager of the Company and from the date of written approval, it will come in to force. The manual is subject to change as the business environment is in a continuous change. Any amendment to this manual in full or part shall be endorsed in writing by the General Manager on the basis of proposals made by the Procurement department manager.

1.2 Objectives of Procurement Management

The general objective of procurement is to support the Company's operation with an uninterrupted flow of materials, supplies and services with right quality, quantity and price at the right time and from the right source. It is important to consider procurement objectives and balance and trade- offs with those related to the management functions in order to serve best the company. The specific objectives, among others, are;

1.2.1 Minimizing total cost

It can be counterproductive for procurement to seek the lowest price, obtaining the lowest price may mean ignoring other cost that counteracts any savings. To minimize total costs procurement must work with other management functions such as supply department. In this regard, in procurement, the pros and cons of holding stocks such as capital tied up, profitability,

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	Name: Yemane Abreha General Manager	
	Signature: 	

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obsolescence, ordering cost; carrying cost, stock out cost etc. should be taken in to consideration. Procurement management should develop new ways and methods and equipment should be developed and instituted to minimize procurement costs and increase productivity/profitability.

1.2.2 Providing an uninterrupted flow of materials and service

One of the most common causes of complaints is material shortage or stock outs. Such shortages are extremely costly, producing tangible losses due to un desired interruption of operations affecting productivity and profitability. Good planning and communication within the company and suppliers are vital.

1.2.3 Providing consistent and good quality procured materials and services

Quality is related to both suitability and cost. Procurement should endeavor to obtain the best required quality materials/services at the lowest cost. Procuring materials/services at lowest prices is not always less expensive and reduced quality may result in rework or un happy customers. Therefore, procurement should work closely with persons who are responsible for quality specifications such as design quality assurance engineers to ensure that suppliers have adequate information for quotes and for production of high quality materials.

1.2.4 Developing favorable supplier relationship

Maintaining and developing good relationship and communication are invaluable to the procurement team and in the company as a whole with supplier as reliable suppliers are important resources, contributing directly to a company's success. Treating suppliers in a fair and equitable manner can enhance good relationship with them and has mutual benefits.

1.2.5 Developing reliable suppliers

One of the benefits of developing reliable suppliers and obtaining alternate sources supply. Procurement cannot wait until a supplier experiences some calamity (labor strike, equipment failure etc.) before developing alternate sources. To find and develop competent suppliers, procurement must constantly search for new suppliers and carefully evaluate their competence and capability. It may be necessary to visit and periodically evaluate the supplier and/or other companies for which they provide materials and services and continually monitor costs, delivery and quail

1.3 Relationship of Procurement with other functions/units

No department/function of a company is an island by itself and this is particularly true of procurement. The success of procurement in accomplishing its objectives is directly dependent upon its cooperation with other departments/units Purchase Follow-Ups, such as supply, finance, engineering, legal etc. in the company. In these constant interactions, mutual credibility and cooperation are essential for success.

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1.3.1 Relationship with Supply department

1.3.1.1 Inventory control

Procurement and inventory control unit should work hand in hand to optimize inventory level and minimize total cost. Continual communication is necessary regarding lead-time, stock-outs, supplier delays, schedule changes, quality problems and prompt delivery time.

1.3.1.2 Physical distribution

Physical distribution is responsible for making on-time delivery to customers.

Late supplier delivery can delay customer's shipment.

Physical distribution can contribute to effective procurement by minimizing incoming transportation costs which depend upon right communication between procurement and transportation unit.

1.3.1.3 Receiving and Storing

common complaint of receiving and stores personnel is lack of timely and proper information and authorization on receiving. Obtaining accurate counts and detecting damage can be difficult. Timely exchange of information is very important.

1.3.2 Relationship with Finance department

Procurement should not incur contractual obligations involving large, unplanned sum of money without consulting finance (cash flow, budget, working capital, financial position etc.). Delays in payment of invoices, taking unauthorized cash discounts, and other sharp practice can jeopardize valuable relationships with suppliers.

1.3.3 Relationship with Engineering/Construction

Most of the contacts and communications between procurement and engineering relate to product design and specifications. Engineering must keep procurement in picture to deliver maximum benefits from the relationship and develop realistic specifications that allow economical procurement of materials from more than one efficient and optimum cost supplier.

1.3.4 Relationship with Quality Assurance

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Quality assurance personnel assist procurement by visiting supplier facilities and evaluating their performance capabilities. They may advise suppliers on quality control methods and techniques that will minimize inspection costs.

Quality assurance provides incoming inspection acceptance criteria to procurement. Delays generally impact the warranty period and could cause difficulties with warranted adjustments.

1.3.5 Relationship with other units

Procurement is not only confined to the above departments/units, it can also have work relationship with other departments/units in the company such as maintenance, Equipment, Legal and Audit e .

1.4 Scope of application of the Manual

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This Procurement Management Policy and Procedure Manual shall be applied both in the Head Quarter and its plants/projects of the company.

1.5 General Notes on key Terms of Definitions

- 1) "**Bid**" means a stage in the procurement process extending from advertisement of or invitation to bid up to signing of contract.
- 2) "**Ethics**" Relates to human conduct in respect to the rightness and wrongness of certain actions and to the goodness and badness of the motives and ends of such actions.
- 3) "**ERP**":- Is an Enterprise Resource Planning/system and software packages used by organizations to manage day-to-day business activities used for central collection of data for wide distribution.
- 4) "**Manual**" :- Is a guide to a particular action that serves as a reference hand book and instructs how to solve problems as they occur. In this case it is the Procurement policy & procedure manual of ASER Construction Plc.
- 6) "**Procurement**" means obtaining goods, works, consultancy or other services through purchasing, hiring or obtaining by any other contractual means.
- 7) "**Procurement Department**" means a body responsible for procurement within the company.
- 8) "**Procurement Management**" includes the General Manager, D/General Manager, Procurement Manager, Division heads in the procurement department and the Procurement Committee involved in procurement activities/execution.
- 9) "**Policy**" A set of basic principles and guidelines formulated and enforced by the organization to direct and limit its action in pursuit of long-term goals.
- 10) "**Procedure**" A step by step sequence of activities or course of action followed in the same order to correctly perform a task
- 11) "**Supplier**" means a natural or juridical person under contract with a

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Company to supply goods, works or services.

- 12) **“Standard Bidding Document”** means the document prepared by the Company to serve as a point of reference in the preparation of bidding documents by the Company.
- 13) **“Technical Specification”** means document describing the quality, type and standard with which the required goods, services, works or consultancy services should comply
- 14) **“Total Price”** means payment made by the company in respect of a particular procurement which includes taxes and all other incidental costs

1.6 Principles, Policies and the responsibilities of Procurement Management

1.6.1. Principles

Any Authority /staff in the execution of procurement must comply with the following Principles: -

- a) Achieve maximum value for money in procurement. I.e. insure economy, efficiency and effectiveness.
- b) No Candidate shall be discriminated or excluded from participating in procurement on the ground of nationality or other reasons which are not related to the evaluation criteria
- c) Any criteria applied in making procurement decisions and decisions taken on each procurement must be made transparent to all

concerned parties with accountability for decisions and measures taken in the execution of procurement.

1.6.2 Procurement policies

The following Procurement policies shall be implemented as a general guideline in making Procurement decisions.

1.6.2.1 The procurement process must begin by completing the

company's approved purchase requisition

1.6.2.2 All purchases should be made by the Procurement department unless otherwise stipulated in this manual

1.6.2.3 Purchases that can be made by the company plants and project offices are limited to purchases of minor services and consumable items. The

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plant or project office is not authorized to make purchases of any capital goods (fixed assets).

- 1.6.2.4 All correspondence with suppliers must be made through the Procurement department. However, when/where necessary such as technical and legal issues, correspondents may be made by the pertinent Manager/head with the consent and copy to the Procurement department
- 1.6.2.5 Modifications, cancellations and adjustments of purchase orders shall be executed by the Procurement department with the Knowledge and consent of the user department manager and the General Manager or DGM.
- 1.6.2.6 Purchase of imported materials and goods shall be made locally where agency agreements exist with foreign suppliers provided that there is advantage of currency, reliability, prompt delivery etc.
- 1.6.2.7 As far as possible purchase shall be made from sister, group and affiliated companies (if any).
- 1.6.2.8 The Procurement department shall maintain a purchase fund for petty purchases. The amount of the fund shall be decided by the General Manager/DGM.
- 1.6.2.9 All purchases exceeding Birr ----- (3,000) should be supported by properly authorized purchase orders. Any procurement above Birr----- (3,000) will require collection of at least three (3) Performa invoices from three different legal suppliers.
- 1.6.2.10 all purchases requiring tender shall be conducted as per this manual.
- 1.6.2.11 Sample should be obtained and tested before selecting the appropriate supplier whenever required.
- 1.6.2.12 Contracts shall be awarded to the selected bidder meeting technical and financial specifications.
- 1.6.2.13 In order to drive economic benefits for the Company, purchases should preferably be made in a planned basis.
- 1.6.2.14 Up on approval of the General Manager or DGM, Purchases/procurements shall be made from one or limited number of suppliers where there is sufficient evidence of advantage on price, quality, availability, delivery time and reliability from previous bids and experience is available to justify the placement of an order.
- 1.6.2.15 All negotiations for purchases shall be initiated, conducted and concluded as per the Procurement plan/manual.
- 1.6.2.16 The Procurement department shall prepare, maintain and update every 6 months the list of major local and international supplier list with whom the Company has regular business relations.
- 1.6.2.17 The Procurement department shall make a constant study of market conditions and seek for new sources of supply.
- 1.6.2.18 Emergency purchases shall be made only whenever situations force to do so.

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However, emergency purchases must be kept to a minimum in order to insure proper procurement planning and expenditure of funds.

1.6.3 Basic Responsibility of Procurement Management

1.6.3.1 Duties and Responsibilities of the General Manager/DGM of the Company

The General Manager/DGM of the company shall have the following duties and responsibilities: -

- 1.6.3.1.1 Ensure that the head/Manager of the procurement department and the procurement staff of the company have the required educational qualification and experience in the fields relevant to procurement.
- 1.6.3.1.2 Ensure that the head/Manager of the procurement department and the procurement staff of the company meet high ethical standards.
- 1.6.3.1.3 Ensure that the department responsible for procurement has the necessary authority and internal system in place to enable it discharges its duties as a team.
- 1.6.3.1.4 Establish a Procurement Committee to approve procurements of high value in the company, consisting of members no less than 5 persons which serves for a maximum period of 3 years (renewable) in accordance with the following criteria: -
 - Officials, who are in high position of responsibility in the company
 - Need to have a better knowledge and experience and as far as possible should comprise from various professions.
- 1.6.3.1.5 Ensure that members of the Procurement Committee have adequate time and office facility necessary to carry out their duty. Where appropriate, the General Manager/DGM can terminate or extend the service of members of the Procurement Committee for indefinite time.
- 1.6.3.1.6 Make sure that the head/Manager of the procurement department and staff, and members of the Procurement Committee have in their possession, copies of the procurement plan and other necessary documents/manual and make training available to them in order to enable them acquire adequate knowledge of the company's procurement system.
- 1.6.3.1.7 Follow up the activities of the procurement department and the Procurement Committee to make sure that the procurement staff and members of the Procurement Committee give due attention in carrying out their duty properly, and where necessary, take corrective measures.

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1.6.3.1.8 Establish ad hoc evaluation committee for procurements which are complex and require detailed technical evaluation.

1.6.3. 1.9 Examine and approve the procurement plan of the company by ascertaining that the following requirements are satisfied:

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a) That, the procurement plan is in harmony with the work program of the company

b) That, items of procurement which can be consolidated in

to a single procurement package are consolidated as such.

c) That the procurement plan is inclusive of all procurement needs of user departments.

1.6.3.1.10 With regard to procurements of small value which do not need the approval of the Procurement Committee: -

a) Delegate authority of approval of such procurements to the procurement department or

b) Delegate authority of approval to the Division head that has direct relation with the procurement.

c) The delegation of procurement authority by the General Manager of the company may be given to persons with various levels of responsibility with specified limits of procurement value.

1.6.3.1.11 Sign a contract or delegate authority to sign a contract where necessary and monitor the execution of any procurement as per the contract.

1.6.4. Duties and Responsibilities of the Procurement Department

The procurement Department shall have the following specific duties and responsibilities: -

1.6.4.1 Identify the procurement need and prepare the procurement plan of the company

1.6.4.2 Make sure that any procurement is made from suppliers who are have valid and renewed trade license.

1.6.4.3 Prepare and submit to the Procurement Committee, bidding documents in collaboration with the procurement initiator.

1.6.4.4 Make corrections to the bidding documents in conformity with the recommendation of the Procurement Committee,

1.6.4.5 Whenever necessary, disclose to the public by posting it on the company's website at the same time of publication of its bid advertisement in a newspaper.

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1.6.4.6 Avail bidding document for sale and gives or causes to be given clarification on issues raised regarding the bidding document,

1.6.4.7 Prepare bid box and manage same

1.6.4.8 Open bids, invite the procurement initiator and internal audit (if any) to attend the bid opening ceremony, if possible,

1.6.4.9 Make sure that the main pages of bid documents submitted by bidders are signed and stamped and cause to be maintained minutes of the Bid opening.

1.6.4.10 Receive, cause to be kept and or release or forfeit bid securities depending on the conditions stated in the bidding documents.

1.6.4.11 Make sure those copies of bid documents are delivered to members of bid evaluation committee and that the original bid documents are kept securely for reference.

1.6.4.12 Evaluate or cause to be evaluated bid documents in group and submit the result to the Procurement Committee

1.6.4.13 Ensure that any information provided in the bid documents is copied and calculations are made accurately and no act is committed in favor of or against a bidder during or in the Bid evaluation.

1.6.4.14 Give or cause to be given clarification on issues raised by the Procurement Committee in regard to procurement subject to the endorsement of the committee.

1.6.4.15 Follow up and coordinate the execution of outsourced procurements.

1.6.4.16 Approve procurements as per the authority delegated to it by the General Manager of the company.

1.6.4.17 Disclose the result of a Bid evaluation to the successful and unsuccessful bidders.

1.6.4.18 Negotiate procurement contracts with successful bidders, sign contracts in accordance with the authority delegated to it by the General Manager/DGM of the company.

1.6.4.19 ascertains that the price offered by successful bidders is commensurate as compared to the market price; particularly for procurements to be conducted by Request for quotation method of procurement.

1.6.4.20 Keep procurement documents and give clarifications on procurements when requested by the appropriate bodies.

1.6.4. Approves and endorse purchases as per job description and specially based on an official delegation of authority

21 vested by the General Manager or DGM.

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1.6.4.22 Maintaining smooth relationship with supply and users'

departments/units

1.6.5 Duties and responsibilities of the Procurement Committee

1.6.5.1 The General Manager or DGM shall establish Procurement/Tender/ committee to review, evaluate and recommend procurements to be made through restricted (Closed) tenders and open tenders. The committee member comprises:

- Procurement Manager ---Chair person
- Finance Manager ---Member
- Supply Manager----- Member
- Engineering/Construction Manager---- Member
- Equipment Administration/ Maintenance Manager---Member
- Requesting /user department Manager/Head----Member
- Procurement Division Head-----Secretary (with no vote)

The Procurement /Tender/ Committee shall have the following specific duties and responsibilities: -

1.6.5.1.1 Ensure that the annual procurement plan prepared by the procurement department of the company takes into account the following points: -

- a) That the identified procurement needs of the company are in harmony with its work program.
- b) That there is no other better alternative to procurement to satisfy each need,
- c) That the procurement plan is prepared in such a way as to enable bulk purchase

1.6.5.1.2 Ascertain that the bidding document prepared by the procurement department satisfies the following requirements: -

- a) That it is in conformity with the standard bidding document prepared by the department for the type of procurement.
- b) That the technical specification complies with the conditions stipulated in the manual.

c) That the evaluation criteria are non-discriminatory, transparent

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and achievable.

- d) That it contains the necessary forms and conditions which the manual require to be stated depending on the type of the procurement, and other matters of fundamental importance.

1.6.5.1.3 Consider and endorse Bid evaluation reports of procurements, by ascertaining that the following conditions are satisfied: -

- a) that the evaluation was conducted in accordance with the bidding document,
- b) that the evaluation was carried out in compliance with the provisions of manual
- c) that the detailed evaluation leading to the recommendation given in the evaluation report and the overall process of procurement would result in ensuring value for money for the company.

1.6.5.2 The General Manager or DGM may appoint Chair person, members or secretary other than mentioned above when deemed necessary.

1.6.5.3 Under special and specific program in case of new projects, innovations, backlogs and involving capital investments during which screening and selecting raw-materials, spare parts,

tools, test equipment and related materials is required, the General Manager or DGM may establish from appropriate departments a provisional/Ad-hoc committee. The Ad-hoc committee shall work in place of the Procurement Committee following the policy and procedures of this manual reporting to the General Manager or DGM and dissolved as soon as the special assignment is completed.

1.6.6 Limits of Authority for purchase approval

The limits of authority for purchase approval shall be as per the delegation of authority by the General Manager or DGM subject to changes as required and necessary.

UNIT TWO: -PREPARATION OF PROCUREMENT PLAN AND SELECTION OF PROCUREMENT METHOD

2.1 Preparation of procurement plan

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2.1.1 The procurement department shall be required to prepare a procurement plan supported by action plan enabling to execute in due time, the procurement necessary to implement their work program.

2.1.2 The procurement plan shall be prepared in such a way as to enable the attainment of the following objectives: -

- a) To ensure compliance with principles of procurement stated in the manual
- b) To achieve the work program of the company
- c) To ensure economy and efficiency in the operation of company by discouraging piecemeal purchase.
- d) Exercise prudence and make the necessary preparation to forestall problems that might be encountered in the execution of procurement.

2.1.3 Identification and packaging of procurements

2.1.3.1 in identifying procurement needs arising from the user department or supply department, the procurement department has to take the following points into consideration:

- a) That the need can be met by a product or service available in the market.
- b) That the identification of procurement needs makes provisions for additional need that might arise in the future, especially in regard to the procurement of goods of long term contract.
- c) That the procurement need is in line with standard items which are widely available in the market unless the need requires otherwise.
- d) That the procurement need is environmentally friendly.

2.1.3.2 In determining annual procurement needs arising from various departments, the procurement department has to consult and secure stock balance from the supply department, consolidate and adhere to the following procedures: -

- a) Require end users in the company to submit their annual procurement needs.
- b) Identify the need submitted by end users by type of procurement, quantity, quality and source.
- c) Identify goods, works and or services to which the company gives priority and special attention.
- d) Ascertain that there are adequate suppliers for the needs

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- e) Determine the cost estimate for each type of procurement by reference to survey conducted by the company or price information obtained from other sources.
 - f) Ascertain that technical specification or /Terms of Reference (ToR) is prepared or will be prepared by end users.
- 2.1.3.3 In the preparation of procurement plan, the company has to select and indicate the appropriate procurement methods to be used in respect of each type of procurement, from among the methods.
- 2.1.3.4 In preparing its procurement plan, the company has to ensure that the plan is inclusive of all of its identified procurement needs and the appropriate procurement method is selected for each procurement.

The Procurement department has to fix the time table for the main activities to be performed in the procurement process, using the formats annexed (Annex-1) to facilitate the preparation of procurement plan by taking into consideration the following and other matters which are relevant to the type of procurement.

- a) that the time fixed for the execution of that procurement is in harmony with the work program of the company.
- b) that the schedule takes into consideration when the supply is widely available in the market.
- c) that the schedule is in keeping with the minimum floating period of bids prescribed in Annex 3 of this manual and allows as far as possible, additional time for bidders to prepare bid documents in order to create conducive environment for wide competition.
- d) in particular, the procurement department has to ensure that adequate time is given for preparation, evaluation and approval of bid documents in respect of complex and large procurements.

2.2 Selection of procurement Method

2.2.1 Up on written approval of the General Manager or DGM, the company may use either all, some or any of the following procurement methods.

2.2.2 As and when necessary, the General Manager or DGM of the company may

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also establish thresholds for procuring goods, works and services for the under mentioned types of procurement methods.

- a) Open bidding
- b) Restricted bidding
- c) Request for quotations
- d) Single source/direct procurement e)
Request for proposal
- f) Two stage tendering

2.2.2.1 Open Bidding

Under open bidding method, all interested firms/bidders are given adequate and sufficient notification of Procurement requirements and all eligible bidders are given an equal opportunity to submit a tender.

The Open Bidding Method is the preferred method of procurement of goods, works and services (Consultancy and Non-Consultancy).

2.2.2.2 Procurement by Restricted Bidding

Procurement made by means of restricted tendering shall be executed in accordance with national or International competitive bidding procedures

- If the required object of procurement is available only with limited suppliers, the invitation to bid shall be sent directly to the respective addresses of those suppliers

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- At least three candidates shall be selected in a fairly manner notwithstanding that the number of prospective bidders is large.
- The Company shall not disclose the identity of candidates invited to participate in a procurement by restricted bidding
- To carry out procurement by means of restricted bidding the following conditions must be satisfied.
 - Invitation to open bid for the procurement must have been published at least twice, and the invitation must have attracted no bidder, or the bidder or
 - Bidders responding to the second invitation to bid must have failed to meet the technical requirements set forth by the Company for that procurement.

2.2.2.3 Request for Quotations

2.2.2.3.1 With the authorization of the General Manager or DGM, the Company can apply request for quotation to procure goods, works or services the need of which cannot be foreseen, or which cannot be included in the bulk purchase of needed items, or which are needed for immediate use.

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2.2.2.3.2 In any procurement made by means of request for quotation, not less than three candidates, as far as possible, shall be selected.

2.2.2.3.3 Quotation should be received within 15 days.

2.2.2.4 Single Source/ Direct Procurement

The use of single source as a method of procurement shall be subject to the following rules:

- The Company may procure from the same supplier,
 - additional requirements of goods, works, consultancy or other services of the same kind as those they have procured from that supplier within 6 months under a previous contract if there is any advantage to be gained from procuring such additional requirements from that same supplier.
- The volume of the additional requirements of goods, works
 - or consultancy assignment may not exceed 25% of the volume of such goods, works or consultancy assignment under the initial contract;
- Job order for the additional requirements must be issued
 - before the expiration of the initial contract or within six months after the expiration of the initial contract;

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- No adjustment shall be allowed in the additional procurement. The unit price and the standard/requirement remain the same as the previous purchased items.
- If the additional requirements include inputs for which the initial contract allows price adjustment, adjustment may be made in respect of such inputs by applying the method used in calculating such adjustments in the performance of the initial contract.

2.2.2.5 Request for Proposal

Where the company opts to procure consultancy service by means of request for proposal it shall issue invitation for expression of interest.

The selection of consultants to be invited to submit proposals shall be made in the following manner:

- By selecting those with better qualification from among consultants responding to an invitation for expression of interest.
 - In case of the number of consultants having the competence to deliver the required service being limited, by inviting all of such consultants;
 - The number of consultants to be invited to submit proposal shall, as far as Possible, be not less than three and not more than seven.
- a) Selection based on Quality and Cost

In evaluating and comparing technical proposals submitted by consultants in a bid for Procurement of consultancy service, the Company shall use the following criteria:

- The experience of the consultant relevant to the service required;
- The methodology the consultant proposes to apply in conducting the study or research;

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- The knowledge the consultancy service to be rendered by the consultant transfers to the company;
- The following percentage points shall be given for each criterion depending on the type of the required consultancy service:

For experience of the consultant.....5-10%; For method applied in doing the study or research-----20-50%; For ability to transfer knowledge-----5-10%; For competence of key professionals engaged in the consultancy service -----30-60%;

For participation of Ethiopians -----5-10%;

- Bidders getting less than 70% in the evaluation shall be rejected

and the envelopes containing the financial proposals of those consultants scoring 70% and above shall be opened.

b) Quality Based Selection

Quality based selection shall be used under the following conditions: -

- Where the complexity of the consultancy service calls for special qualification on building projects sanitarian, electrical, mechanical material etc. consultancy services and for this

reason it is difficult to define precise terms of reference or the required input from the consultants, for which the client expects the consultants to demonstrate innovation in their proposals.

- Assignments that have a high downstream impact and in which

the objective is to have the best experts.

- Assignments that can be carried out in substantially different ways other than price and quality and when comparison of such proposal is expected to be difficult.

- The Envelopes containing the technical proposals shall be opened in the presence of the bidders,

- The bidder scoring the highest point in the evaluation of the technical proposals shall be selected as the successful bidder.

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c) Selection Based on Fixed Budget

This method is appropriate only when the assignment is simple and can be precisely defined and when the budget is fixed.

- The envelopes of the technical proposals shall be opened in the presence of the bidders.
- The technical evaluation shall be carried out in accordance with the provisions of this manual. The financial envelopes of the bidders, who have technically qualified, shall be opened in their presence and the price offered by each bidder shall be read out
- Bidders offering price in excess of the budget available for the procurement shall be disqualified.
- The bidder offering the price within the budget limit allocated to the procurement and scoring the highest point in the total sum of the technical & financial evaluations shall be selected as the successful bidder. If necessary, negotiation may be held with the selected bidder on certain issues excluding price.

d) Selection Based on Least Cost

This method is appropriate for procurement of a consultancy service which is standard, simple and doesn't call for special qualification of a consultant.

- In evaluating bidders by applying this method, the Company shall set the minimum point of technical evaluation which they shall indicate in the request for proposal to be issued for consultants who are selected from the suppliers list.
- The envelopes of technical proposals shall be opened in the presence of the bidders and the evaluation shall be carried out thereafter.
- Bidders failing to score the minimum point set for technical qualification shall be disqualified.
- The envelopes containing the financial evaluation of bidders not satisfying

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the minimum point set for technical qualification

shall be returned to them unopened.

- The financial envelopes of the bidders who have technically qualified shall be opened in their presence and the price offered by each bidder shall be read out.
- The bidder offering the lowest evaluated price shall be selected as the successful bidder from among the bidders who have technically qualified by satisfying the minimum point.

e) Selection Based on the Consultants' Qualification

This method may be used for small assignments of which the cost and time required for preparing and evaluating competitive proposals is not justified.

- This method may only be used where the consultancy services

shall be performed by individual consultant

- The terms of reference to be prepared for such consultancy

service shall require candidate consultants to state their experience and level of qualification.

- The consultancy assignment shall be based on the agreement

reached through negotiation on the technical and financial proposal of the consultant selected through evaluation of information submitted by candidates chosen from the suppliers' list or contained in the data base of the company.

2.2.2.5 Two stage tendering

- It shall be stated in the invitation to bid that the procurement shall be carried out by means of two stage bidding,
- Candidates shall not be required to furnish bid security during the first of the two stages bidding,
- Since the purpose of the first stage is to draw up detailed schedule of requirements based on proposals from candidates,

the bidding document prepared by the Company for the first stage shall state the requirements of the Company in general terms and incorporate the

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necessary description and questionnaires.

- The technical proposal submitted by candidates during the first stage shall be opened in the absence of the candidates in the manner stated in the invitation to bid.
- The first stage evaluation shall focus on examining the proposals submitted by candidates at the first stage to identify the schedule of requirements necessary and the bidders qualifying for the second stage bidding. During the first stage evaluation, the Company may also hold discussion with all, some or one of the candidates as necessary to create better understanding of and develop the proposal submitted by the candidates.
- Invitation shall be sent to the candidates whose proposals have been accepted in the first stage bidding to participate in the second stage bidding. Such bidders shall be required to furnish bid security.

UNIT THREE: - PROCEDURE OF NATIONAL COMPETITIVE BIDDING (LOCAL PURCHASE)

When applying national competitive bidding, the procurement department shall use the standard bidding documents.

National (Local) purchase comprises of the acquisition of goods/materials, spare parts, tools and services by the Company from a local market within Ethiopia.

- Local purchases are initiated through Purchase Requisitions (PR).

Purchase Requisitions are raised by the store based on stock control records for stock items and on the basis of store requisition in case of non-stock items.

- Prior to procurement action, all requisitions shall be sent to supply department for verification.

- The procurement department should ascertain that the following conditions are satisfied when using national competitive bidding by ascertaining that the required objects of procurement can be procured from local suppliers.

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3.1 Invitation to bid

The invitation to bid (open tender) has to be published at least once in a newspaper that has nationwide circulation to ensure participation of as many bidders as possible.

3.1.1 The company may advertise bids at any time, as many times and by any means of its choice

3.1.2 The publication of an invitation to bid shall contain at least the following information: -

- The name and address of the company
- The type and to the extent possible the quantity and place of delivery of the goods or services, or the nature and the site to be effected, or the type of the consultancy service to be rendered and the place where such service is rendered.
- The criteria to be satisfied by the candidates, who can participate in the bid.
- The place where the bidding documents can be obtained,
- The amount of the bid security
- The price of the bid document and the means of payment
- The place and deadline of submission of bids, and the place, date and hour of the bid opening
- A statement that the Company reserves the right to reject any or all bids
- Other matters that the Company deems necessary for bidders to know.
- The invitation to bid shall be prepared in the language in which the bid proceeding is to be conducted.

3.2 The Bidding Document

The task of drawing up bidding documents is principally that of the procurement department.

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3.2.1 Instruction to bidders

- The procurement department has to make sure that bidders get the instruction to bidders which are an integral part of the standard bidding document, and the bid data sheet which is an extension of
- the instruction to bidders, as parts of the standard bidding document.
- The procurement department has to ascertain that the instruction to bidders it prepares contains a general description of the goods, works, consultancy services or other services to be procured, the full name and address of the company, the criteria that bidders are expected to

fulfill including a statement of requirement that domestic bidders submitting bids for a contract value determined by Government must present Value Added Tax (VAT) registration certificate and foreign bidders must as appropriate submit business organization registration certificate or trade license issued by the country of establishment, an indication of the address and time for submitting requests of clarification on the bidding document and a statement that such request has to be made in writing, the content of bid documents to be submitted by candidates, the language in which bid documents have to be submitted, the type and number of necessary documents and complementary forms described in the bidding documents.

3.2.2 Technical Specification

- The Company shall be required to draw up detailed technical specification/ToR especially for complex and high cost procurements. A technical specification shall be prepared in accordance with the need of end users and in such a manner that it allows wider competition on the basis of performance, function, technical or design
- characteristics depending on the type of the procurement.
- The technical specification of goods, consultancy service, works or services shall be drawn up by the department which has identified the need or by the staff of the Company who have adequate knowledge of
- the procurement in question.
- A specification shall not prescribe a particular product, brand or service provider. However, where it is difficult to draw up a
- specification giving an accurate description of the requirement, where the procurement is for spare parts for a particular item of proprietary plant or equipment, or where there is known to be only one manufacturer or provider of the goods or services in question, the

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name of the manufacturer or service provider and the term “Or

Similar” may be incorporated in the specification.

- Technical specification shall form part of the bidding document and shall be sufficiently detailed and comprehensive to provide a complete and exact basis for the formulation of bids by those suppliers wishing to participate in the bid.

3.2.3 Bid form and Price Schedule

- The Company shall prepare bid document to be filled by bidders, and other forms.
- The price schedule prepared by the Company shall prompt bidders to clearly indicate price, tax and other issues related to price and facilitates transparent and efficient bid evaluation.
- The bid form prepared by the Company shall be such that enables the candidates to present clear proposal, understand the bid procedure, warns against acts of disruption of the bid process and informs candidates that they take full responsibility for the bid proposal they put up.

3.2.4 General and Special Conditions of Contract

- The Company has to make sure that bidders get copies of the general and special conditions of contract as parts of the standard bidding document.
- No change shall be made to the content of the general conditions of contract of the standard bidding document. The special conditions of contract may however be modified depending on the type and nature of the procurement with reference to the provisions of the general conditions of contract.
- The special conditions of contract drawn up by the Company shall contain a clear indication of the duties and responsibilities of the Company and the bidder and provisions for the important terms of the contract such as time of delivery, packing, responsibility for transportation, price adjustment, payment, delivery and inspection, security and others as the case may be.

3.2.5 Setting of criteria for bid evaluation

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- The Company has to indicate clearly the bid evaluation criteria in the evaluation and qualification criteria section of the standard bidding document.
- Selection of a successful bidder shall be carried out in either of the following two methods, notwithstanding that the bid evaluation criteria varies from one type of procurement to another: -
- Setting the minimum technical requirement and selecting the bidder with the lowest evaluated bid from among the bidders meeting such minimum technical requirements or indicating clearly in the bidding

document the criteria to be applied to determine the functional or economic value of the procurement and the relative weight to be ascribed to each criterion and selecting the bidder with the highest cumulative result by conducting evaluation based on these criteria.

- The criteria selected for conducting evaluation shall be objective and

that can, as far as possible, be expressed in monetary terms in respect of achieving maximum value for money.

3.2.6 Setting of bid floating periods

- In the preparation of a bidding document, the company has to set the deadline for bid submission taking into consideration the time it

takes for bidders to obtain the bidding document, to prepare responsive bids, to gather information, to analyze the information, to establish joint venture as necessary, to obtain certificate of manufacturer's authorization including the power of attorney to sign and to fulfill other pre-conditions to participate in the bid, in case of international competitive bidding, the time necessary for the submission of bid document to the designated place and in case of procurement of works in particular, the time necessary to visit the construction site and for pre-bid meeting.

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3.2.7 Sale of bidding documents

- The Company shall fix the selling price of bidding documents for all kinds of bids. Where bid documents are required to be submitted in

two envelopes: -

- The envelope containing the technical proposal shall first be opened in the bid opening process and the name and other salient points of the

bid shall be read out.

- The envelopes containing the financial proposals of all bidders shall be put into one large envelope unopened. The large envelope containing the financial proposals shall be properly sealed and labeled with the bid identification number and a statement indicating that the

envelopes therein contain financial proposals written on it and employees of the Company executing the bid opening proceeding putting their respective signatures on it. The large envelope containing the financial proposals shall remain sealed and kept carefully under the custody of the procurement unit or any other unit entrusted with the custody of the envelope until the second bid opening preceding.

- The result of the technical evaluation shall be communicated in

writing to all bidders at the same time who participated in the bid after approval by the competent body.

- The letter of notification to be written to the unsuccessful bidders on

the technical evaluation shall state the reason for not being chosen as the successful bidder.

- The letter of notification to be written to bidders whose technical

proposals have been accepted by the Company shall state the time and place of opening of the financial proposals. The notification shall be sent to all such bidders at the same time and adequate time should be given to all bidders wishing to attend the financial envelopes opening proceeding. However, if a complaint is lodged against the result of the technical evaluation, the financial proposals shall not be opened pending decision on such complaint.

- The financial proposals shall be opened in the presence of the bidders

whose technical proposals have been accepted and to whom letter of notification is written to attend the proceeding

- The envelopes containing the financial proposals of bidder successful

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in the technical evaluation shall be opened and the name of the bidder, the price offered and any discount given by such bidder and the conditions for such discount, and any other information related to price shall be read out to inform the bidders

- Upon disclosure of the result of the technical evaluation, the bid

security and the envelopes containing the financial proposals shall be returned unopened to the unsuccessful bidders. If, however, complaint is lodged against the result of the technical evaluation the bid security and the financial envelopes shall not be returned to the unsuccessful bidders pending final decision on such complaints.

- The procurement department shall record the minutes of the bid

opening. Such minutes shall contain the names of the bidders, their bid price and any other salient points raised in the bid opening proceeding. The minutes and the original bid documents shall be signed by employees conducting the bid proceeding. Bidders present during the bid opening shall sign the attendance sheet.

- Any bid document not opened and read out during the bid opening

proceeding shall not be considered for further evaluation.

- No bidder shall be disqualified from a bid at the time of bid opening proceeding.

3.2.8 Disqualification of bidders

The Company may disqualify a bidder for any of the following reasons:

- a) Where a bidder offers to supply the required objects of procurement originating in a country in respect of which the government of the Federal Democratic Republic of Ethiopia has imposed trade ban;
- b) Where the bidder offers to supply the required objects of procurement originating in a country under trade embargo of the Security Counsel of the

United Nations in which transacting with any business organization or individual who is the national of that country is prohibited;

- c) Where the bidder commits an act of violating the provisions of this manual and other relevant laws;
- d) Where the bidder is debarred by a decision of the company from participating for breach of its obligation under previous contract;

- e) Where it is proved that the bidder has given or has offered to give inducement or bribe to an

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official or procurement staff of the Company to influence the result of the bid in his favor;

- f) Where it is proved that the bidder has committed an act of embezzlement, fraud or connivance with other bidders.

3.3 Announcing the Successful Bidder

- The Company shall announce the result of a bid evaluation to selected bidder.
- A letter of award to be sent by the Company to a successful bidder shall not constitute a contract between the bidder and the Company.

A contract shall be deemed to have been concluded between the Company and the successful bidder only where a contract containing detailed provisions governing the execution of the procurement in issue is signed.

- A letter of contract award to be sent to a successful bidder shall

contain the following information:

- ✓ That the Company has accepted his bid;
- ✓ The total contract price;
- ✓ The amount of the performance security the successful bidder is required to furnish and the deadline for providing such security.

- Where the successful bidder cannot or is unwilling to sign a contract, the Company may either declare the bidder submitting the second

most preferred bid to sign a contract or advertise the bid afresh by assessing the benefit of the two options.

3.4 Advance Payment

- In any procurement, advance payment may be paid in an amount decided by the General Manager or DGM.
- Suppliers shall submit advance payment security in an amount equal to the advance payment they receive in the form of a certified cheque

or unconditional bank guarantee or other as per the decision of the

General Manager or DGM and the contract.

3.5 Signing of Contract

- The Company has to sign with a supplier, a contract containing the general

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conditions of contract forming an integral part of the

bidding document and the special conditions of contract to be agreed upon by and between it and the supplier.

- Unless a contract is signed between the Company and the supplier, mere notification of award doesn't constitute a contract

between the Company and the supplier.

- The contract to be signed between the Company and the supplier shall clearly state the obligations of the two parties and incorporate provisions, inter alia, for the following matters: -

- The type, quality and quantity of the goods to be supplied, the works to be executed, or the consultancy or other services to be

rendered as per the contract, the manner and schedule of delivery of such goods, works or services, the unit and the total price to be paid for such goods, works or services and the terms and schedule of payment.

- Identifying the party responsible for securing the provision of

incidental services (Transport, Insurance, transit etc) from third parties, it being necessary to obtain such services from reliable sources,

- Discount and other offers proposed by the supplier in its bid

document and the application of such offers,

- Procedure for resolution of disputes that may arise in the performance of the contract,
- The portions from the total payment to be effected in foreign and local currency for a foreign supplier,
- Procurement document forming an integral part of the contract and the scope of application of such documents.
- The conditions giving rise to forfeiture of performance security,
- The liability of the supplier for delay in supplying the goods, performing the works or rendering the services as per the contract.

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UNIT FOUR: PROCEDURE OF INTERNATIONAL PROCUREMENT (FOREIGN PURCHASE)

4.1 International Competitive Bidding

Based on clear advantages in terms of quality, price, availability and delivery time, procurement may be made by means of international competitive bidding.

Bidders participating in procurement of goods have to produce manufacturer's authorization if the company requires them to do so, unless they themselves are manufacturers of such goods. In addition to the procedure of national competitive bidding set forth in this manual, procurements made by means of International Competitive bidding shall comply with the following procedures: -

- The bid advertisement and the bidding documents shall be prepared in English.
- The bid advertisement shall be published in a newspaper that has wide circulation and accessible to foreign bidders, the bid advertisement shall be posted on the Company's website.
- Bidders must be given adequate time to prepare bid documents in response to the

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invitation to bid

- The schedule of requirements to be prepared shall comply with national standard and be internationally acceptable.

- Bid prices offered by foreign bidders shall be quoted and bid

securities required of such bidders shall be furnished in a freely convertible currency used for payment in international commercial transactions.

- Where a foreign bidder uses local inputs to satisfy the required

object of procurement under the contract, the portion of the total contract price representing such local expenditure shall be expressed in birr in the price schedule of the bidder.

- Contracts concluded for procurements to be made by means of

international competitive bidding may incorporate standard terms and conditions (see Inco terms in Annex-4 and update for latest version) applicable in international commercial transactions.

- Unless the contract provides otherwise, disputes arising from

the performance of the contract shall be preferably adjudicated in accordance with Ethiopian Law.

4.2 International Procurement procedures

In accordance with the prevailing directives of the National Bank of Ethiopia, Letter of Credit (L/C) or Cash against Document (CAD) is allowed for over USD 5000 and Telegraphic Transfer (TT) is allowed only for less than USD 5000 transactions.

Letter of credit is a commitment by the bank to pay the seller of goods or services of a certain sum provided the seller presents the documents specified in the terms of the credit.

2.2.1 The permit process and required documents

4.2.1.1 Typically, international procurement process comprises specification, (TOR) preparation, proforma/offer bid analysis, evaluation and approval of the General Manager or DGM.

4.2.2 The standard form can be collected from the designated bank and the following documents are required for import (foreign exchange application) approval.

a) Import application form duly filled, signed & stamped by the company

b) Proforma Invoice

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Insurance Certificate

- d) Copy of valid License (foreign trade, business, investment, industry, agriculture, construction or mining etc.)
- e) TIN certificate
- f) Special permit for import (for vehicles from Transport Authority, machinery from Ministry of Construction, Exclusives from Security office etc.)
- g) Sales/Purchase contract between the two parties (importer and exporter) and others as may be required.

The Procurement department (foreign purchase division) should collect immediately the draft L/C and check for completeness and free from error. Until the original/copy L/C is received it is advisable to send it for the beneficiary by fax/scan to expedite shipment.

2.2.2 Shipping documents

The customary term of foreign purchase is FOB, C&F and CAD and the required shipping documents (original and copy) for L/C are summarized in the following table.

S. N	Description	No. of Original	No. of Copy	Remark
1	Chamberized Commercial Invoice	5	5	3 originals +5 copies can also be acceptable
2	Bill of Lading	3	3	
3	Air way bill	1	3	
4	Certificate of origin	1	3	
5	Packing list	5	-	As required

4.2.3 Shipment

The company may also need to use Ethiopian Shipping and Logistics Services Enterprise (for Sea Transport) or Ethiopian Air Lines (in case of Air Transport) to transport its cargo. If these carriers do not call a specific port, the carriers give a waiver.

The foreign purchase division shall follow-up shipping status, trace and secures shipping documents like airway bills, bill of lading, commercial invoices, etc. for clearance action.

4.2.4 Customs Clearance

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4.2.4.1 Upon receipt of the relevant shipping documents, the company may sign agency agreement for customs clearing (Transit and Custom Clearing agent) and expedite customs formalities and clearance.

4.2.4.2 Transport Operation Companies should be arranged to facilitate transportation from ports to customs and final destinations.

4.2.4.3 Government Offices may be requested (as required) in order to secure supporting letter for clearance of non-duty paying goods/materials.

4.2.4.4 Always avoid delinquency record/list of the National Bank of

Ethiopia

4.2.5 Handling and Receipt of Goods/Materials Imported by Air or Sea

4.2.5.1 Upon receipt of the relevant documents, Procurement department handles and facilitates the following:

- Arranges transportation facilities for loading and transporting goods/materials to final destination (Warehouse)
- Copies of supplier's Invoice and/or packing list in sealed envelope together with the shipment shall be delivered to the supply department/store and attached to GRN.
- Follows-up and ensures the arrival and receipt of goods/materials by the Warehouse.
- The Procurement department arranges transportation for goods/materials imported by Sea from Sea Port via Customs to final Destination (Warehouses).

4.2.6 Lodging Claims

4.2.6.1 Upon receipt of the goods at the store and based on the report of the supply department, the Procurement department:

- Arranges for a preliminary survey
- Give notice to the supplier/carrier/forwarder as appropriate regarding loss/damage if any.
- Lodge claims with the supplier/ carrier/ forwarder/

Insurance Company as appropriate based on inspection report.

- Follow up the settlement of claims and receipt of credit

notes on damage/losses.

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UNIT FIVE: -MISCELLANEOUS PROVISIONS

5.1 Purchase Order

After offer evaluation and approval, Purchase Order (PO) shall be signed as per limits of authority delegated by the General Manager or DGM and issued to the supplier selected.

A purchase order (PO) is a commercial document and first official offer issued by a buyer to a seller, indicating types, quantities, and agreed prices for products or services. It is used to control the procurement of products and services from external suppliers.

The issue of a purchase order does not initiate a contract. If no prior contract exists, then it is the acceptance of the order by the seller that forms a contract between the buyer and seller. Purchase orders can be an essential part of ERP system. A unique and consecutive PO number can be set for reference.

The purpose of purchase orders is to procure materials for direct consumption or for stock, procure services, cover customer requirements using external sources, or procure a material that is needed in plants from an internal source. They may also place once only procurement transactions and optimize purchasing by taking full advantage of negotiated conditions or for optimal utilization of existing transport capacities.

Although a typical purchase order may not contain contract, it is common to accompany the acceptance of a purchase order with a legal document such as the terms & conditions of sale, which establish specific or additional legal conditions of the contract.

It has advantages both for the buyer and supplier. The advantage to the buyer is the ability to place an order without immediate payment. From the seller's perspective, a PO is a way to offer buyers credit without risk, since the buyer is obligated to pay once the products or services have been delivered.

5.2 Purchase Fund Handling

5.2.1 General

The staff assigned for purchase fund handling shall be responsible to maintain and control the purchase fund for purchase of small value items and for other needs and services in accordance with purchase fund policy.

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The staff assigned as a custodian of the purchase fund shall be responsible for safeguarding and handling of the cash at all times.

5.2.2 Administration of the Purchase Fund

- Purchase fund in the hand of the purchaser should not exceed the amount decided and approved by General Manager or DGM.
- Payment from purchase fund shall be made for services and materials purchased locally and chargeable to expenses/purchase accounts and the amount for a single purchase shall be determined by General Manager or DGM on the basis of the authority & attest instruction plan.
- The purchaser shall register all approved receipts on cash statement and get it approved by the department manager.
- The purchaser shall submit the approved cash statement with the relevant documents to Finance and Accounting department and secure replenishment to the purchase fund.
- Transfer of purchase fund shall be made from one custodian to another with approved letter of authority only.

5.2.3 Information/ Recording, Reporting and Purchase Follow-Up

Reliable information is essential to the proper functioning of any organization in general and the procurement department in particular. Decisions that directly affect the profitability of the company are based up on the information that the procurement receives from different departments/units in the company. If the information is not reliable, decisions may be incorrect and affects procurement activities.

It is also necessary to, update and follow-up of all procurements beginning from the receipt of purchase requisitions up to the completion of the operation culminating in the receipt of the purchased items by the warehouse.

- The purchase follow-up should be made by the Procurement department. Weekly and monthly status of all purchases, prices, quality and cost should be reported to the General Manager/DGM.
- The progress of the order should be continually updated and corrective measures should be taken whenever it seems to disrupt the smooth and continuous business operations of the Company.

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5.3 Ethical standards of procurement

Among the various functions of the company, procurement function has more chances of regular contacts with suppliers. These contacts often involve large sum of money requiring procurement personnel to maintain high ethical standards. Though, there is no professional association in our country, maintaining universal ethical standards cannot be skipped by any means. Therefore, each company should develop an explicit policy for all employees with respect to what constitutes ethical conduct which encompasses not only procurement but also other functional departments such as Supply, Engineering, Finance etc. directly or indirectly involved in procurement.

Probably, the most common ethical concern is gifts and entertainments of various degrees (small or big). The acceptance of costly items is clearly

violation of ethics, as it would lead to favor a certain supplier. In addition to the gifts and entertainments, there are other an un ethical concerns and the following are few to consider.

- a) Requesting quotations with no intention to buy

Sometimes it happens that only to satisfy company's policy of minimum number of quotations and may be knowing that it is higher price quotations may be requested to justify procurement from a particular supplier.

- b) Providing erroneous information to a supplier to induce lower prices It is a dishonest act to provide fictitious information to obtain lower prices by informing long term company plans or similar conditions.

- c) Allowing a supplier favored treatment
All suppliers' information shall be kept confidential. No one supplier should be allowed to examine any quotation. In case if one supplier is allowed to revise quotations, the same opportunity should be available to all.

- d) Creating conflict of interest

Procurement personnel may be charged with a conflict of interest if they do business with any company to which relatives, friend or family members have similar interest. Such conflict of interest should be avoided.

- e) Double standards
Different standard behaviors are practiced for various groups within the same company. For instance, one must be concerned with how a company can justify a policy stating that the procurement personnel would not accept gifts or entertainment from suppliers if their sales representatives are allowed or encouraged to give gifts to their customers.

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Considering all the above and related ethical issues, ASER Construction Plc follows the following procurement ethics throughout the company as a minimum requirement for the procurement personnel to be observed the following and other as standards of ethics.

- a) Shall consider first the interest of their company in all transactions and to carry out and adhere to its established policies. They shall be receptive to competent council/advice from their colleagues and to be guided by such counsel without impairing the dignity and responsibility of their office.
- b) Shall procure without prejudice, seeking to obtain the maximum ultimate value for each monetary expenditure
- c) Shall strive consistently for knowledge of the materials and process.
- d) Shall subscribe to and work for honesty and truth in procurement and denounce all forms and manifestations of commercial bribery.
- e) Shall accord a prompt and courteous reception, so far as conditions will permit, to all who call on a legitimate business mission.
- f) Shall respect his/her obligations and require those obligations to his/her concern be respected, consistent with good business practice.
- g) Shall council/advice and assist fellow personnel in the performance of their duties, whenever occasion permits.
- h) Shall cooperate with all parts of the company and individuals engaged in activities designed to enhance the deployment and standing of procurement.
- i) Shall keep in secret any confidential information of the company, candidates or suppliers which he came to know of on account of his duty.
- j) Shall refrain from committing an act which is prejudicial to equal opportunity of candidates or suppliers to compete in a bid or enter into a contract with a company in any procurement.
- k) Shall report any conflict of interest encountered to management decision immediately.

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